

# STAGES OF LIFE

In terms of finance, every person's life can be divided into 7 stages. Each stage features different financial characteristics and a different approach to handling it. We need to recognize where we fall currently and create the lazy canvas accordingly. These stages and cycle is discussed by the CFA Institute as well and is followed by experts across the globe.



## EDUCATION

Education is the phase of our life where our focus is on learning rather than earning. We are financially dependent on either our family or borrowed money. The objective at this stage is to build a solid base on which we can build our career. This phase lasts till we start working at our first full-time job. For some, it can end at age 15, while for others it may go on till the age of 25. In most cases, we will not even know our financial goals.



## EARLY CAREER

This phase constitutes the first 3-4 years of work life. Here again, we are just getting started and perhaps getting paid very low, maybe just enough to pay off our bills. It is during this time that our family starts expecting some sense of financial performance from us. However, we are just getting started and primarily focused on investing in anything that can make us more valuable and can increase our cash inflow.



## CAREER ADVANCEMENT

Our career has just begun to take off in this stage of life and our pay is increasing, we are getting promotions, we are buying big properties like a house, maybe a car, etc. By this stage, we would also have increased responsibilities, our parents are approaching retirement, we have a family of our own, we have bills to pay off and we have to start saving to meet our financial goals. Our financial goals have started to gain more clarity. We have enough surplus to start investing as well.